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9.5 Relative Position of on Indian Economy

(This discussion is suitable for a particular period only, there may be changes afterwards)



- According to International Monetary Fund, World Economic Outlook (Ocoter-2016), GDP (nominal) of India in 2016 at current prices was $2,251 billion. India contributed 2.99% of total world's GDP in exchange rate basis. India shared 17.5 percent of the total world population and 2.4 percent of the world surface area. India was now 7th largest economy of the world in 2016.
- India was at 3rd position after China and Japan among Asian countries. India shared 8.50% of total Asia's GDP (nominal) in 2016.

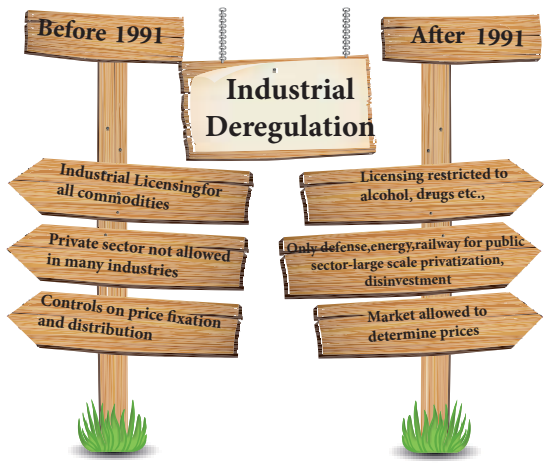
9.6 Industrial Sector Reforms

The Prime Minister of India announced the new industrial policy on July 24, 1991. The new policy radically liberalized the industrial policy itself and de-regulated the industrial sector substantially. The primary objectives of the industrial policy were to promote major industries from the clutches of bureaucrats, to abolish restrictions on foreign direct investment, to liberate the indigenous enterprise from the restrictions of MRTP Act, to maintain a sustained growth in productivity and employment and also to achieve international competitiveness.

Important Initiatives by the Government towards Industrial Policy

The policy has brought changes in the following aspects of industrial regulation:

1. Industrial delicensing
2. Dereservation of the industrial sector
3. Public sector policy (dereservation and reform of PSEs)
4. Abolition of MRTP Act
5. Foreign investment policy and foreign technology policy.



1. **Industrial delicensing policy:** the most important objective of the new industrial policy of 1991 was the